CANON MEXICANA, S. DE R.L. DE C.V.

TITLE: **JOB PROMOTIONS POLICY**					
REFERENCE: RH-019/17	EFFECTIVE DATE			VERSION	PAGE 1 OF 4
	DAY	MONTH	YEAR		
	15	02	2017	1.0	

Objective

The present policy is intended to establish the guidelines for the professional development of employees. Additionally this policy will serve as a guide for the responsible of proposing promotions for their supervisees.

One of the goals of Canon Mexicana is providing professional growth opportunities through a set of work positions that are consistent with the commitment to the organizational needs, the inclusive processes and the equity of opportunities. Therefore, it is a company policy to provide development possibilities for the personnel within the organization based on their individual capabilities, performance, the organization needs and the availability of positions.

Canon Mexicana reserves the right to select external candidates to warranty that the available vacancies are covered by employees with the required competencies to perform a position.

Scope

This policy is applicable to all Canon Mexicana employees.

Key words

Promotion, Role expansion, Work reclassification

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DATE: 01/02/17	DATE: 01/02/17	DATE: 01/02/17

1. Types of promotions

1.1 The aim of Canon Mexicana organizational development program is promoting employees with higher capabilities and mastery, based on their demonstrated abilities to assume superior responsibilities and the successful performance of the position's key activities.

Career plans for employees can be channeled towards a managerial development or the individual contribution.

1.2 Canon defines "promotion" in different ways, for instance: Employees can be promoted through the specialization of their same fields (from Accountant to Sr. Accountant) or by being qualified to cover work positions different to their fields (From Administrative Specialist to Marketing Specialist).

These movements are considered as promotions:

a) From organizational band to organizational band.

b) Within the same organizational band.

c) Job role expansion.

2. Periodicity

2.1 Promotion processes will take place once a year, to correspond with the organizational goals annual review and will be applicable every January 1st.

When necessary and justified and based on critical needs within the organization such as vacancy coverage, activities expansion or reorganization, promotions can take place on July 1st.

2.2 Out of these dates and in real exception cases, salary adjustments or promotions can be authorized, always within the current salary scale in the company.

2.3 In any case, promotions need to be discussed with the Human Resources department and authorized by the President and CEO of Canon Mexicana.

3. Elegibility

3.1. As a general guideline, employees can be promoted once in a 24 month period.

3.2. Promotion opportunities may be considered when are justified by:

a) The employee has been assigned with new job responsibilities or higher authority that changes significantly his/her job role.

b) The employee has been transferred to a different position with higher hierarchy to cover a vacant position.

3.3 Immediate supervisors who request promotion opportunities for their supervisees must be able to justify the reasons for the promotion and taking in consideration the obtained score in his/her last performance evaluation.

The scores of the previous evaluations will facilitate the validity of the promotion but they are not the only reason to considerate to promote an employee.

3.4 Other criteria that should be considered are:

- The promotion fits the organizational structure in a form the justification is reasonable.

- The employee has performed the same position for at least one year.

- The employee has performed additional responsibilities to his/her current ones and has demonstrated the ability to perform the new role.

- The employee must fulfill the guidelines for the new position as indicated in the position requirements.

- The minimum score obtained by the employee in the last performance evaluation must be exceeding the expectations.

- The position considered in the promotion must exist in the Canon positions catalogue.

- The new activities to develop must match the position requested in the promotion.

- The employee will not be eligible for promotion if a conduct norm was infringed by him/her and an administrative record was generated in the past 12 months.